

Cambridge International AS & A Level

ECONOMICS

Paper 3 A Level Multiple Choice (Hard)

Practice Paper Hard

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Difficulty Level: Hard

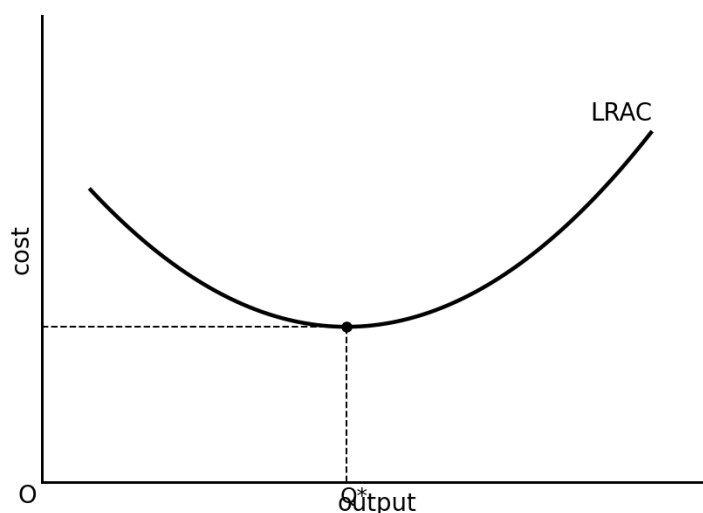
1 A consumer's marginal rate of substitution (MRS) of Y for X is greater than the price ratio P_X/P_Y . To maximise utility, the consumer should:

- A consume more of Y and less of X
- B consume more of X and less of Y
- C leave consumption unchanged
- D consume equal quantities of both goods

2 Two goods are perfect substitutes for a consumer. The indifference curves between these two goods will be:

- A L-shaped (right-angled)
- B convex to the origin
- C concave to the origin
- D downward-sloping straight lines

3 The diagram shows a firm's U-shaped long-run average cost (LRAC) curve. At output Q^* , the firm operates at the minimum efficient scale (MES). At this output:



- A the firm is experiencing increasing returns to scale
- B the firm is experiencing constant returns to scale at the minimum point
- C the firm is experiencing decreasing returns to scale
- D the firm faces external diseconomies of scale

4 A market is characterised by a negative externality of consumption. Which inequality describes the free-market equilibrium?

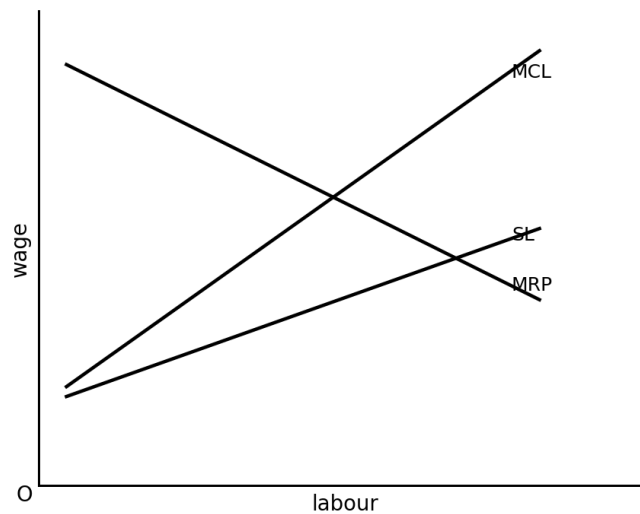
- A $MSC < MPC$, resulting in underproduction
- B $MPB > MSB$, resulting in overconsumption
- C $MSB > MPB$, resulting in underconsumption
- D $MPC < MSC$, resulting in underproduction

5 An industry has four firms, each holding 25% of the market. The Herfindahl-Hirschman Index (HHI) of the industry is:

- A 100
- B 625
- C 2500
- D 10000

- 6** A monopolist faces a constant marginal cost and the price elasticity of demand at the profit-maximising output is -2. Using the Lerner index, the firm's mark-up of price over marginal cost is:
- A** 25%
 - B** 50%
 - C** 100%
 - D** 200%
- 7** A dominant firm sets its price below the short-run profit-maximising level to discourage new firms from entering the industry. This pricing strategy is called:
- A** predatory pricing
 - B** limit pricing
 - C** price leadership
 - D** two-part tariff
- 8** In a market with a negative production externality, a Pigouvian tax that restores allocative efficiency must be set equal to:
- A** the marginal social cost at the private equilibrium output
 - B** the marginal external cost at the socially optimal output
 - C** the marginal private cost at the private equilibrium output
 - D** the total external cost at the socially optimal output
- 9** In the Nash equilibrium of a one-shot prisoner's dilemma between two firms:
- A** both firms choose to cooperate
 - B** each firm plays its dominant strategy
 - C** the joint payoff is maximised
 - D** neither firm has a dominant strategy
- 10** A government issues a fixed number of tradable pollution permits. The market price of permits will tend to be high when:
- A** the marginal abatement cost across firms is low
 - B** the marginal abatement cost across firms is high
 - C** the number of permits issued is very large
 - D** no firms wish to participate in the scheme

11 The diagram shows a monopsonistic labour market with curves SL (supply of labour), MCL (marginal cost of labour) and MRP. The MCL curve lies above the SL curve because:



- A** workers always demand a higher wage than offered
 - B** to attract one more worker, the firm must raise the wage paid to all existing workers
 - C** wages are set entirely by collective bargaining
 - D** the productivity of each additional worker is rising
- 12** The wage elasticity of demand for labour will be more elastic when:
- A** labour is a small proportion of total production cost
 - B** the demand for the final product is highly inelastic
 - C** close substitutes for labour (e.g. capital) are readily available
 - D** the time period considered is very short
- 13** A profit-maximising firm in a competitive labour market currently hires workers where $MRP = \text{wage}$. If the wage rate falls and the MRP curve is unchanged, the firm will:
- A** hire fewer workers
 - B** hire more workers
 - C** hire the same number of workers
 - D** stop hiring workers altogether
- 14** Which policy combination is most consistent with reducing income inequality without significantly damaging work incentives?
- A** raising the top marginal income tax rate to 90%
 - B** expanding access to high-quality education and skills training
 - C** eliminating all means-tested welfare benefits
 - D** imposing a single flat-rate consumption tax
- 15** The central bank conducts an open market operation by selling government bonds to the public. Other things equal, the money supply will:
- A** increase
 - B** decrease
 - C** remain unchanged
 - D** rise then quickly fall

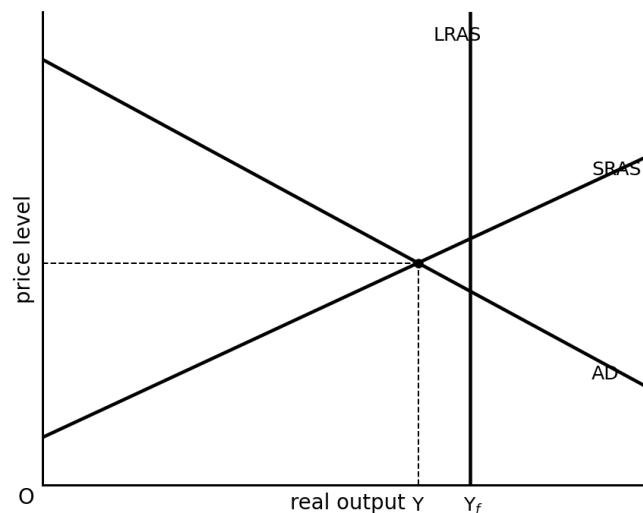
16 Which change is most likely to raise the natural rate of unemployment in an economy?

- A** a fall in trade union bargaining power
- B** a rise in the generosity and duration of unemployment benefits
- C** a rise in labour market flexibility
- D** a fall in the pace of technological change

17 A country's labour productivity rises by 3% during a year while its real GDP rises by 2%. Other things equal, what is the most likely change in employment?

- A** a fall of around 1%
- B** a rise of around 1%
- C** no change
- D** a rise of around 5%

18 The diagram shows an economy where equilibrium output Y lies below the full-employment level Y_f , indicating a negative output gap. Which combination of macro-economic conditions is most likely?



- A** falling unemployment and rising inflation
- B** rising unemployment and falling inflation
- C** rising unemployment and rising inflation
- D** falling unemployment and falling inflation

19 A government's budget deficit rises sharply during a recession even though no new fiscal policies are announced. The most likely cause is:

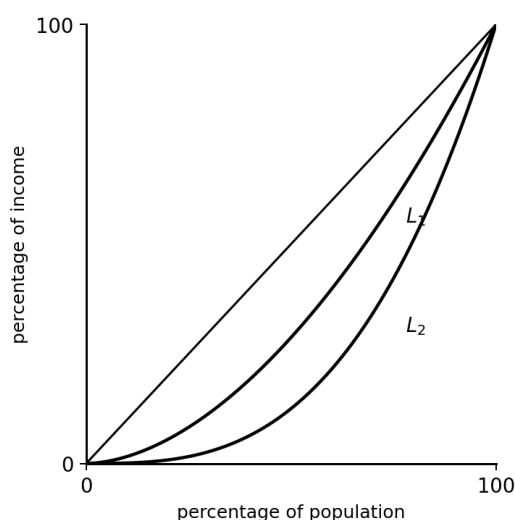
- A** higher tax receipts and lower transfer payments
- B** lower tax receipts and higher transfer payments
- C** a discretionary fiscal contraction
- D** an autonomous fall in government spending

20 Crowding out is most likely to occur when an increase in government borrowing causes:

- A** interest rates to fall, leading to a rise in private investment
- B** interest rates to rise, leading to a fall in private investment
- C** consumption spending to rise
- D** the exchange rate to fall sharply

- 21** According to the Laffer curve hypothesis:
- A** tax revenue rises continuously as tax rates rise
 - B** tax revenue is maximised at a zero tax rate
 - C** there is a tax rate beyond which higher rates reduce total revenue
 - D** tax cuts must always pay for themselves through faster growth
- 22** The long-run Phillips curve is vertical at the natural rate of unemployment because:
- A** there is no inflation in the long run
 - B** workers eventually fully anticipate inflation and adjust nominal wages
 - C** the natural rate of unemployment must be zero
 - D** monetary policy has no influence on the price level
- 23** The Kuznets curve hypothesises that, as a country develops economically, income inequality will:
- A** rise continuously throughout development
 - B** first rise and then fall as development proceeds
 - C** remain entirely unrelated to development
 - D** first fall and then rise as development proceeds
- 24** The J-curve effect describes the pattern in which, following a currency depreciation, the current account balance:
- A** improves immediately and then worsens
 - B** first worsens before improving over time
 - C** remains unchanged in both the short and long run
 - D** responds only to changes in interest rates
- 25** A country runs a persistent current account deficit. Which financing approach is the most sustainable in the long run?
- A** running down the central bank's foreign currency reserves
 - B** short-term borrowing in foreign currency
 - C** attracting long-term foreign direct investment
 - D** sharply devaluing the exchange rate
- 26** Under purchasing power parity (PPP), if Country A's inflation rate is 5 percentage points higher than Country B's, the currency of Country A is expected to:
- A** appreciate against B's currency by 5%
 - B** depreciate against B's currency by 5%
 - C** remain unchanged against B's currency
 - D** become a global reserve currency
- 27** A multinational firm based in Country H operates a subsidiary in Country N. The subsidiary earns most of its revenue from exports but repatriates 80% of its profits to Country H. Over time, the most likely effect on Country N's current account is:
- A** a steady improvement as export revenues rise
 - B** a worsening due to large primary income outflows
 - C** no effect, as profits are recorded only in the financial account
 - D** an improvement in the capital account

28 The diagram shows a Lorenz curve shifting from L_1 to L_2 , becoming more bowed away from the line of perfect equality. As a result, the Gini coefficient will:



- A** decrease
 - B** increase
 - C** remain unchanged
 - D** fall to zero
- 29** The 'Dutch disease' describes a situation in which:
- A** trade liberalisation reduces national welfare
 - B** a natural-resource boom causes currency appreciation that harms other tradable sectors
 - C** high inflation occurs in a small open economy
 - D** a current account surplus is driven by manufacturing exports
- 30** Which factor is most likely to limit the long-run gains from globalisation for a developing country?
- A** rising access to international capital markets
 - B** increased exposure to volatile global commodity prices and external shocks
 - C** the spread of new technology across borders
 - D** the growth of multinational firms employing local labour